

FEDERAL MARITIME COMMISSION

IN RE: RATIFICATION OF
FEDERAL MARITIME
COMMISSION ADMINISTRATIVE
LAW JUDGES

Docket No. 18-05

Served: June 28, 2018

BY THE COMMISSION: Michael A. KHOURI, *Acting Chairman*, Rebecca F. DYE, and Daniel B. MAFFEI, *Commissioners*.

ORDER

In *Lucia v. Securities and Exchange Commission*, 585 U.S. ___, 2018 U.S. LEXIS 3836 (June 21, 2018), the U.S. Supreme Court held that administrative law judges serving at the Securities and Exchange Commission (SEC) are subject to the Appointments Clause of the U.S. Constitution. Based on the duties they perform, the Supreme Court determined that SEC administrative law judges are “Officers of the United States”—a class of government officials that must be appointed by the President, a court of law, or the head of a department. *Id.* at *11.

The administrative law judge assigned to Petitioner Raymond Lucia’s case at the SEC was appointed by SEC staff, not by the head of the department or the President.

For that reason alone, the Supreme Court ruled that the appointment was constitutionally invalid. In a previous case, the Supreme Court held that, for the purposes of the SEC, “the Commission itself counts as a ‘Head[] of Department[].’” *Id.* at *9 (citing Art. II, §2, cl. 2, *Free Enterprise Fund v. Public Company Accounting Oversight Bd.*, 561 U. S. 477, 511–513 (2010)).

This Order is issued to avoid any misunderstanding or confusion regarding the appointments and authority of the administrative law judges serving at the Federal Maritime Commission (FMC).

Unlike the SEC, the Federal Maritime Commission’s head of department is the Chairman and, as such, he is vested with authority to appoint “Officers” serving at the Commission. 46 U.S.C. § 301(c)(2) and (3). While the SEC’s “powers . . . are generally vested in the Commissioners jointly, not the Chairman alone,” *see Free Enterprise Fund*, 561 U. S. at 512, the FMC Chairman “is the chief executive and administrative officer of the Commission” and is expressly authorized to “appoint and supervise officers . . . of the Commission.” 46 U.S.C. §§ 301(c)(2), 301(c)(3)(A)(i).

Additionally, the FMC Chairman may not only appoint and supervise officers and employees of the FMC, but the Chairman has also been vested with the authority to “assign Commission personnel, *including Commissioners*, to perform duties and powers delegated by the Commission[.]” 46 U.S.C. § 301(c)(3)(A)(v) (emphasis added). This authority contrasts with the SEC Commissioners, who “do not report to the Chairman, who exercises administrative and executive functions subject to the full Commission’s policies.” *Free Enterprise Fund*, 561 U. S. at 512. The FMC Chairman is bound by the FMC’s

“policies, regulatory decisions, findings, and determinations of the Commission,” but the FMC Chairman is expressly not subject to the policies and determinations of the Commission when exercising the appointment power under 46 U.S.C. § 301(c)(2) (Chairman subject to Commission policies “other than under paragraph (3)” which encompasses appointment authorities).

The FMC’s administrative law judges were selected and appointed by the head of the department in compliance with the Appointments Clause. Administrative Law Judge Clay G. Guthridge was appointed by Chairman Steven R. Blust on August 20, 2006. Judge Guthridge was appointed as the Chief Administrative Law Judge by Chairman Richard Lidinsky on February 23, 2010. Administrative Law Judge Erin M. Wirth was appointed by Chairman Lidinsky on January 3, 2010.

While there is no question that the appointment of the Commission’s administrative law judges is constitutionally (and statutorily) valid, for the avoidance of doubt, the Commission hereby unanimously affirms the appointments of the Hon. Clay G. Guthridge and Hon. Erin M. Wirth.

By the Commission.

Rachel E. Dickon
Secretary